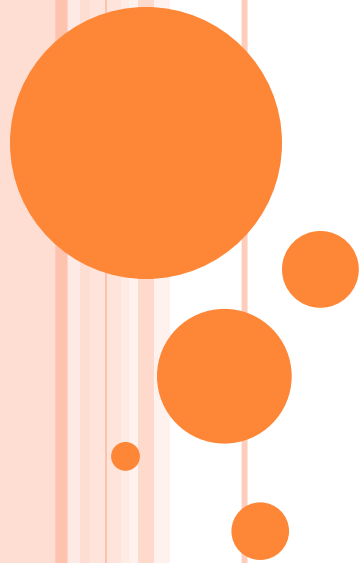


BUSINESS POLICY AND STRATEGIC MANAGEMENT

BCG Matrix

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BOSTON CONSULTING GROUP (BCG)

- Matrix is developed by Bruce Henderson of the Boston Consulting Group in the early 1970's
- According to this technique, business or products are classified as low or high performance depending upon their market growth rate & relative market share.



RELATIVE MARKET SHARE & MARKET GROWTH

- To understand the Boston Matrix you need to understand how market share & market growth interrelated.
- Market Share





Market share is the percentage of the total market that is being serviced by your company measured either in the revenue terms or unit volume terms.



RELATIVE MARKET SHARE

$$\text{RMS :- } \frac{\text{Business Unit Sales this year}}{\text{Leading rival sales this year}}$$

The higher your market share, the higher proportion of the market you control.



MARKET GROWTH RATE

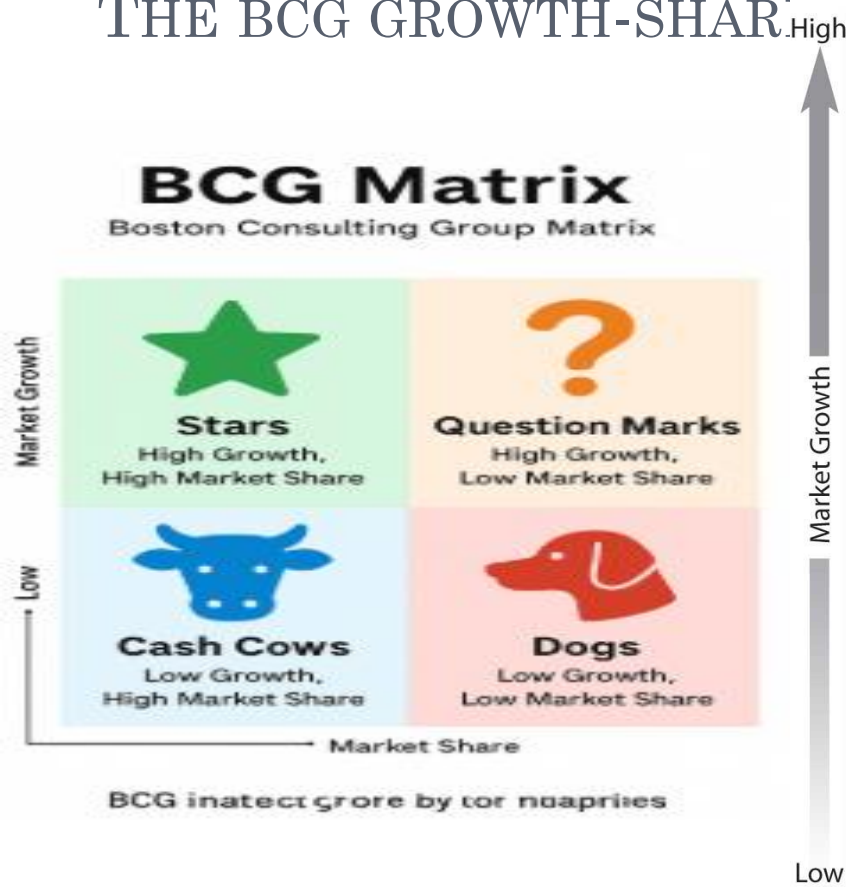
- Market Growth is used as a measure of a market's attractiveness.

$$\text{MGR} = \frac{\text{Individual Sales this year} - \text{Individual sales last year}}{\text{Individual Sales last year}}$$



Markets experiencing high growth are ones where the total market share available is expanding & there is plenty of opportunity for everyone to make money

THE BCG GROWTH-SHARE



Category	Market Growth	Market Share	Example
Stars	High	High	Tesla EVs
Cash Cows	Low	High	Coca-Cola
Question Marks	High	Low	New startup EV bikes
Dogs	Low	Low	DVD Players

Classify each of the following products into **Stars, Cash Cows, Question Marks, or Dogs** with justification

- a) Smartwatches
- b) Landline phones
- c) Electric scooters from a new company
- d) Pepsi soft drink



It is portfolio planning model which is based on the observation that company's business unit can be classified in to four categories .

- Question Marks
- Stars
- Cash cows
- Dogs

It is based on the combination of market growth & market share relative to the next based competitor.



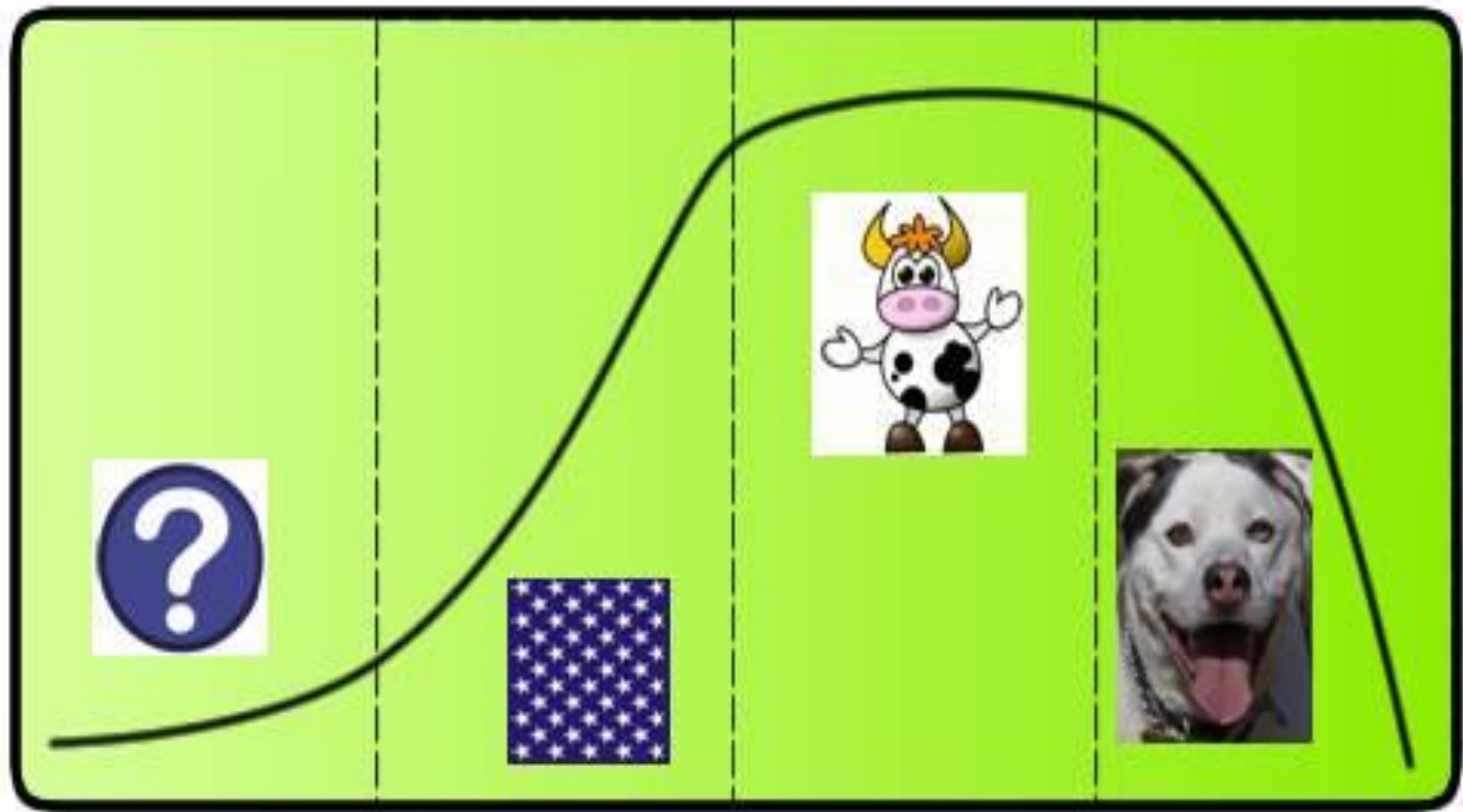
Introduction

Growth

maturity

decline

Sales



Time on market



QUESTION MARKS/PROBLEM CHILDREN (HIGH GROWTH, LOW MARKET SHARE)

- Most business start of as question marks
- They will absorb great amount of cash if the market share remains unchanged (low)
- Question marks have potential to become star & evenly cash cow but can also become dog.
- Investment should be high for question marks.



STARS

(HIGH GROWTH, HIGH MARKET SHARE)

- Stars are leader in business
- They also require heavy investment to maintain it's large market share.
- It leads to large amount of cash consumption & cash generation.
- Attempts should be made to hold the market share otherwise the star will became a cash cow.



CASH COWS

(LOW GROWTH, HIGH MARKET SHARE)

- They are foundation of the company & often the stars of yesterday.
- They generate more cash than required
- They generate more cash than required.
- They extract the profits by investing as little cash as possible
- They are located in an industry that is mature not growing or declining



DOGS

(LOW GROWTH, LOW MARKET SHARE)

- Dogs are the cash traps
- Dogs do not have potential to bring
- High cost – Low quality
- Business is situated at a declining stage



WHY BCG MATRIX

To asses

- Profile of product /business
- Cash demands of products
- The development cycle of product
- Resource allocation & divestment decisions



MAIN STEPS OF BCG MATRIX

- Identifying & dividing a company into SBU

Assessing & comparing the prospects of each SBU according to two criteria

- 1) SBU's relative market share
- 2) Growth rate of SBU's industry

Classifying the SBU's on the basis of BCG matrix

Developing strategic objective for each SBU



BENEFITS

- BCG matrix is simple & easy to understand
- It helps to quickly & simply screen the opportunity open to you, & help you think about how you can make the most of them.
- It is used to identify how corporate cash resources can best be used to maximize company's future growth & profitability.



LIMITATION

- BCG matrix uses only two dimensions relative market share & market growth rate.
- Problem of getting data on market share & market growth
- High market share does not mean profits all time.
- Business with market share can be profitable too.



BCG-MATRIX FOR THE PRODUCT LINE OF
Coca-Cola

Coca-Cola



QUESTION MARKS

(HIGH GROWTH, LOW MARKET SHARE)



STARS

(HIGH GROWTH, HIGH MARKET SHARE)



CASH COWS

(LOW GROWTH, HIGH MARKET SHARE)



DOGS

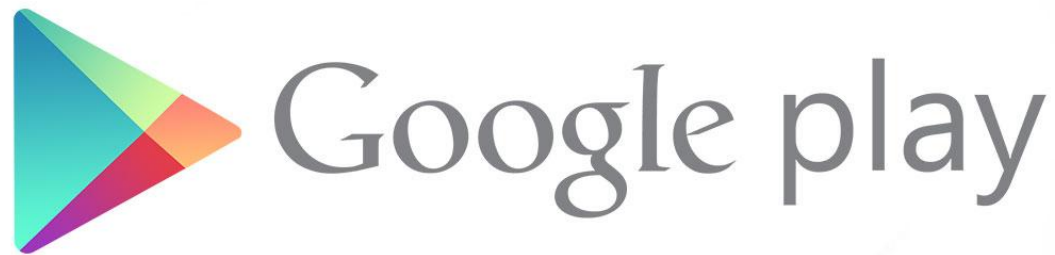
(LOW GROWTH, LOW MARKET SHARE)



Google

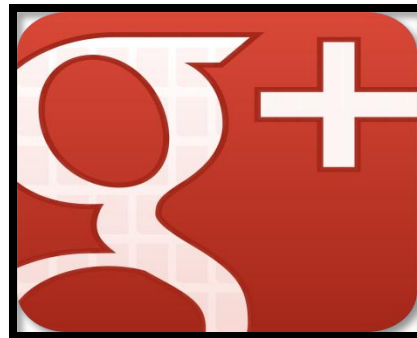


QUESTION MARKS

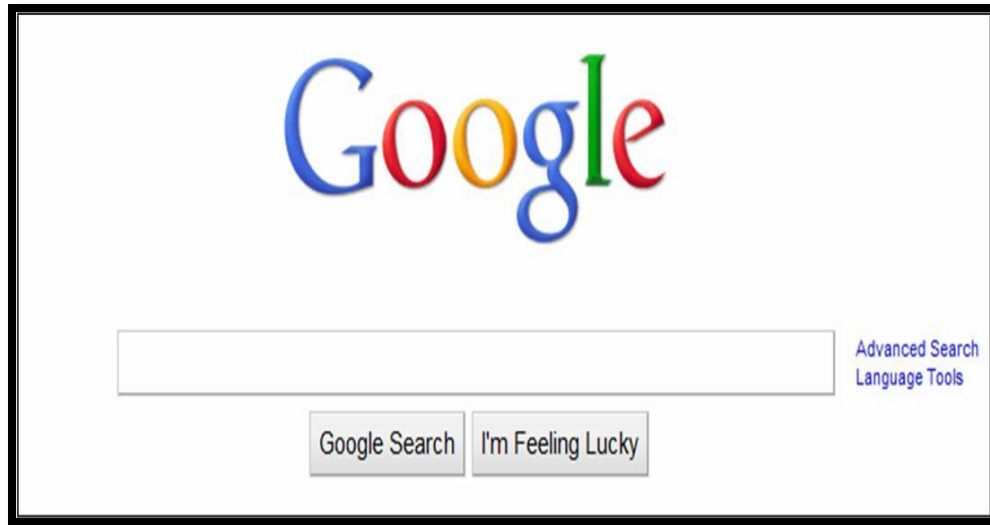


STARS

- Invest for growth



CASH COWS (MILK TO FUND OTHER BUSINESS)



DOGS



CONCLUSION

- Though BCG matrix has its limitation it is one of the most famous & simple portfolio planning matrix, used by large companies having multi-products.



